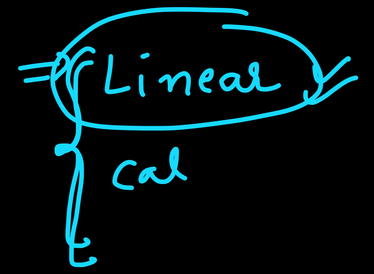
Agenda

* Guess Estimate - 2

Google Adsense

Assignments



Made with Goodnotes

Problem statement

* Estimate the revenue of google from Google Adsense. per year globally

Objective:

→ ✓ How structure is your approach ?

→ How comfortable are you with estimate nos

→

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*** Pre requisites :

1. What is Adsense ?
2. How does it work ?
3. CPC, CPM, CTR

CPC → Cost per click

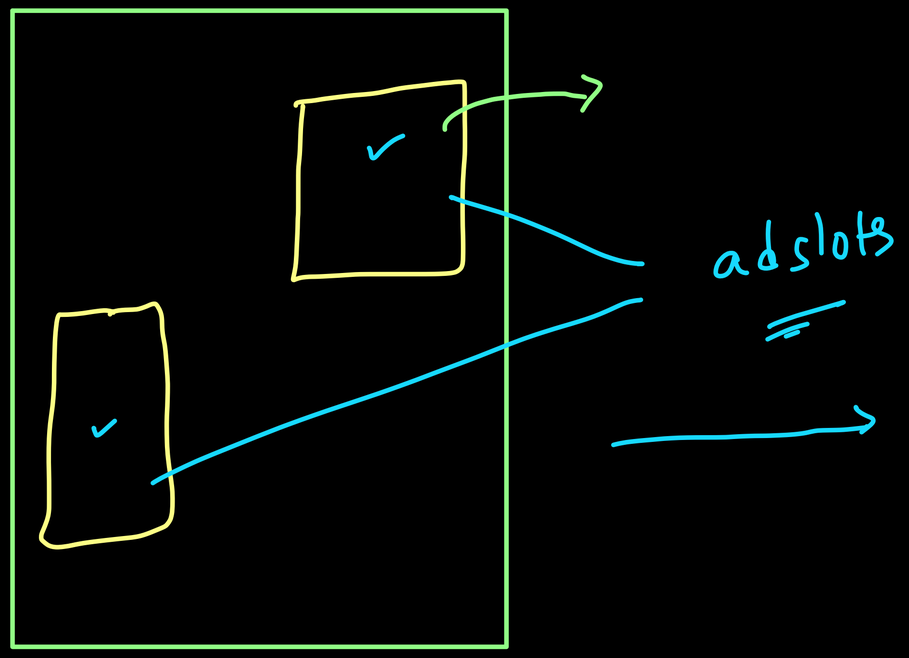
CPM → Cost per Milli

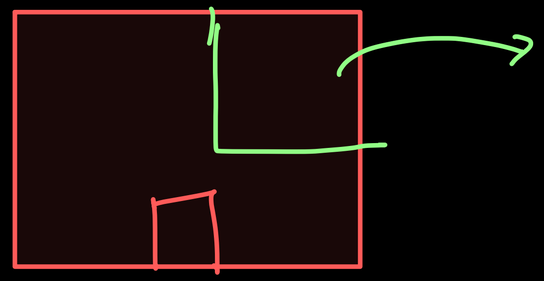
CTR → Click through rate

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What is Adsense ?

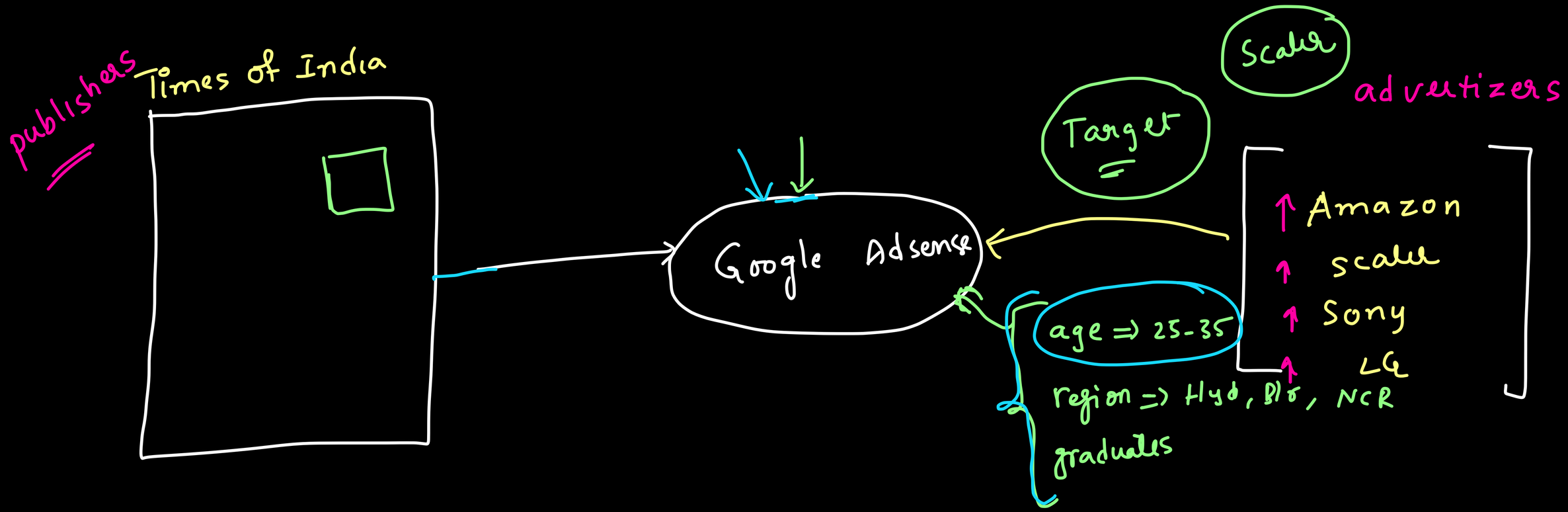
Times of India





AirBnb

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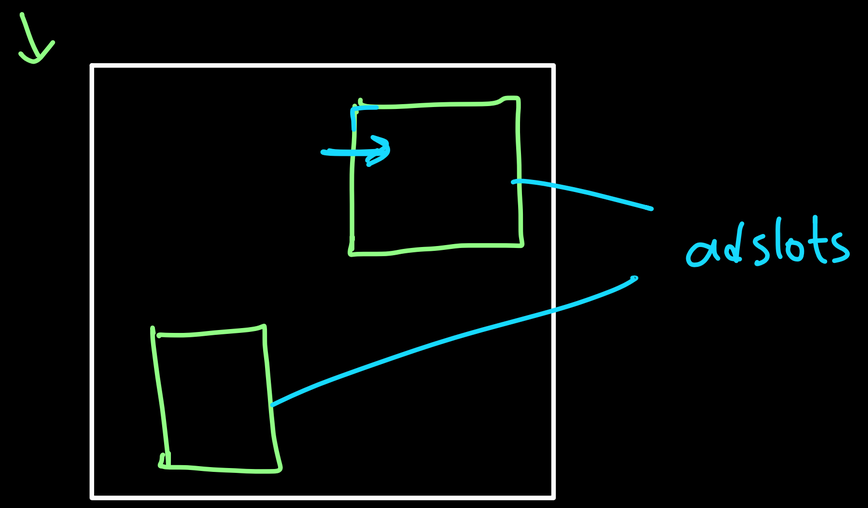


=> It is service by google which advertizers to market their product or services in various targeted publishers.

2 types of ads

1. View ad → ad

2. Click ad →



1. Cost per milli (or) cost per thousand impressions (view)

$$CPM = \frac{\text{Ad budget}}{\text{total \# Impressions}} * 1000$$

ad budget

views click

$\Rightarrow$ Type of ad + Budget

$= \frac{1000000}{1000000} \times 1000 = \text{Rs } 100 \text{ per } 1000 \text{ views}$

$\Rightarrow$ CPC $\Rightarrow$ Cost per click

$CPC = \frac{\text{Ad budget}}{\text{Total \# of clicks}} \Rightarrow \frac{10000}{5000} \Rightarrow 2\$$

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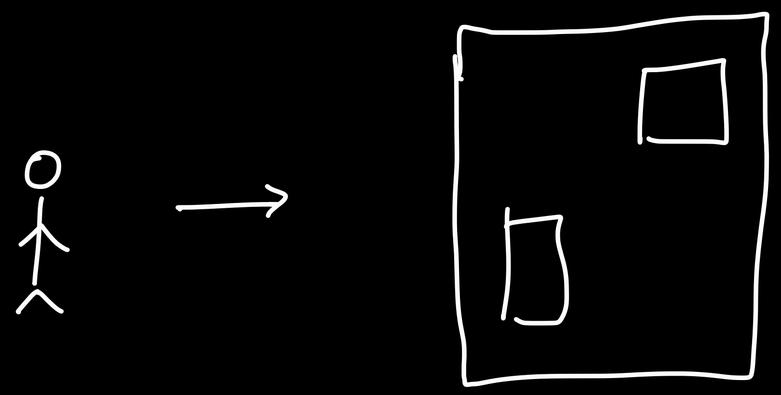
=>

Master class

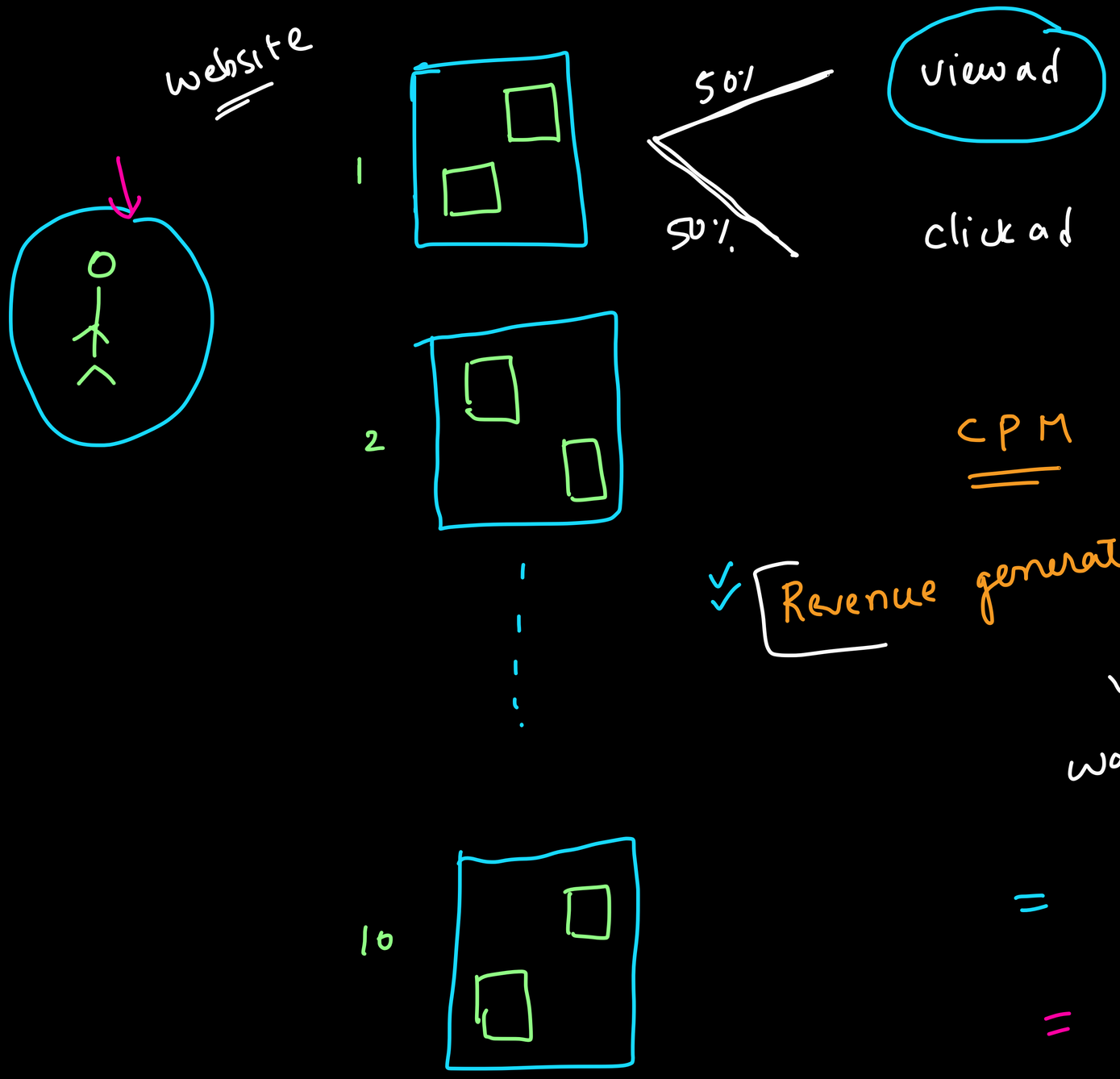
- objective → more clicks
- Budget → 1L
- persona →

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Life cycle of customer



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CPM =

Revenue generate by = # of visitors X # of page visited X % of view ads * # of viewad watched * CPM

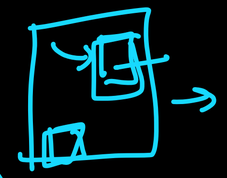
= 1 * 10 * 0.5 * 20 * $1 / 1000

0.001

= $100 = $0.1

⇒ click type ad

Revenue = # of visitors x # page visits * % of click ads * # of click ads seen by visitors



* CTR * CPC

5 → 3



$$CTR = \frac{\text{Total clicks}}{\text{Total Impressions}}$$

= 1 * 10 * 0.5 * 20 * ------

Total = Revenue from view ad + Revenue from click ad

Problems

1. Don't know total no' of publisher

2. Don't know total no of visitors per publisher

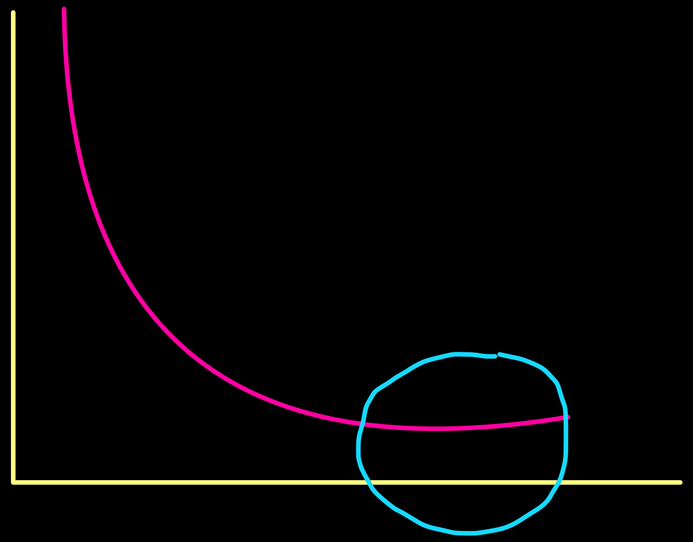
10:25 → 10:40

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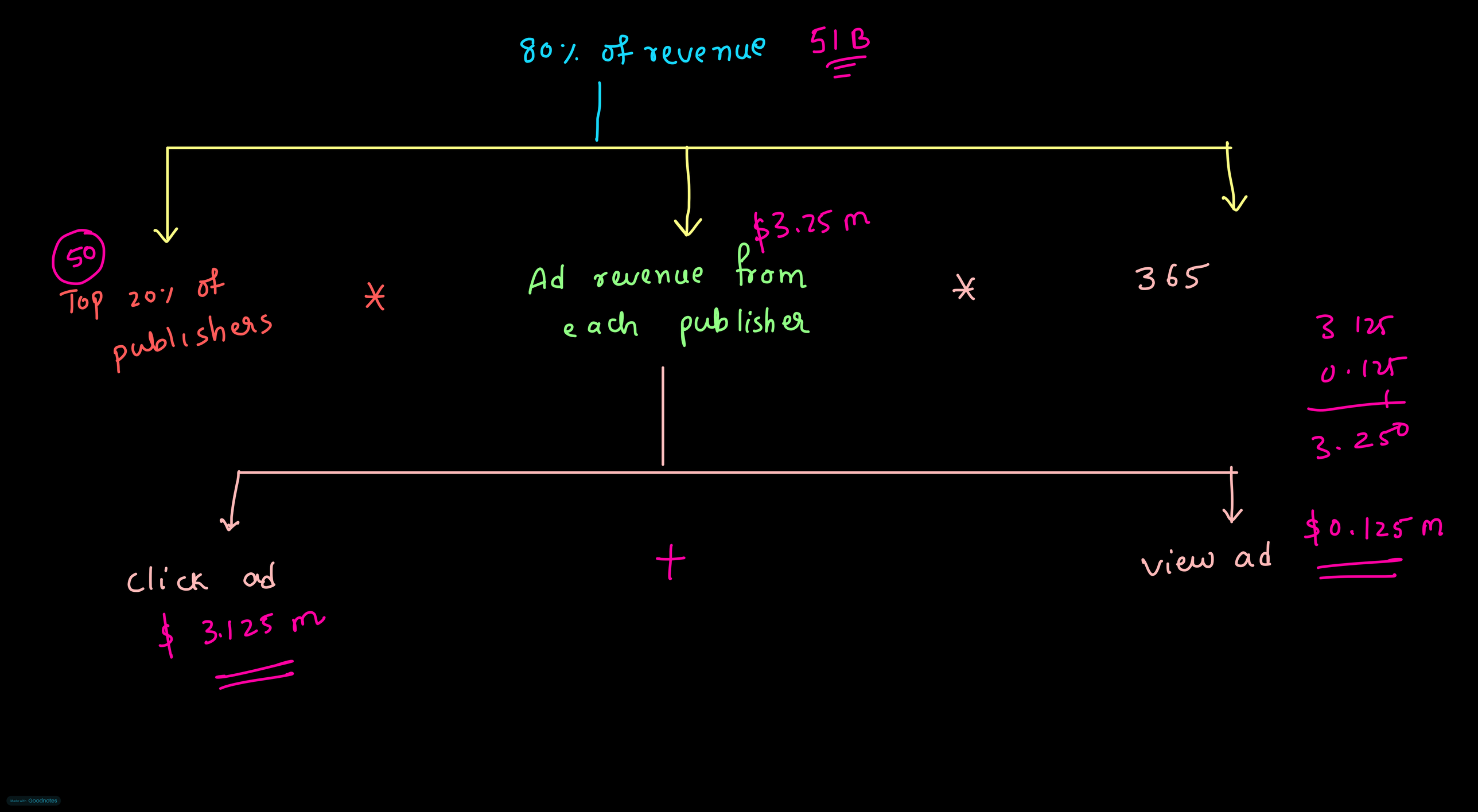
Pareto Rule

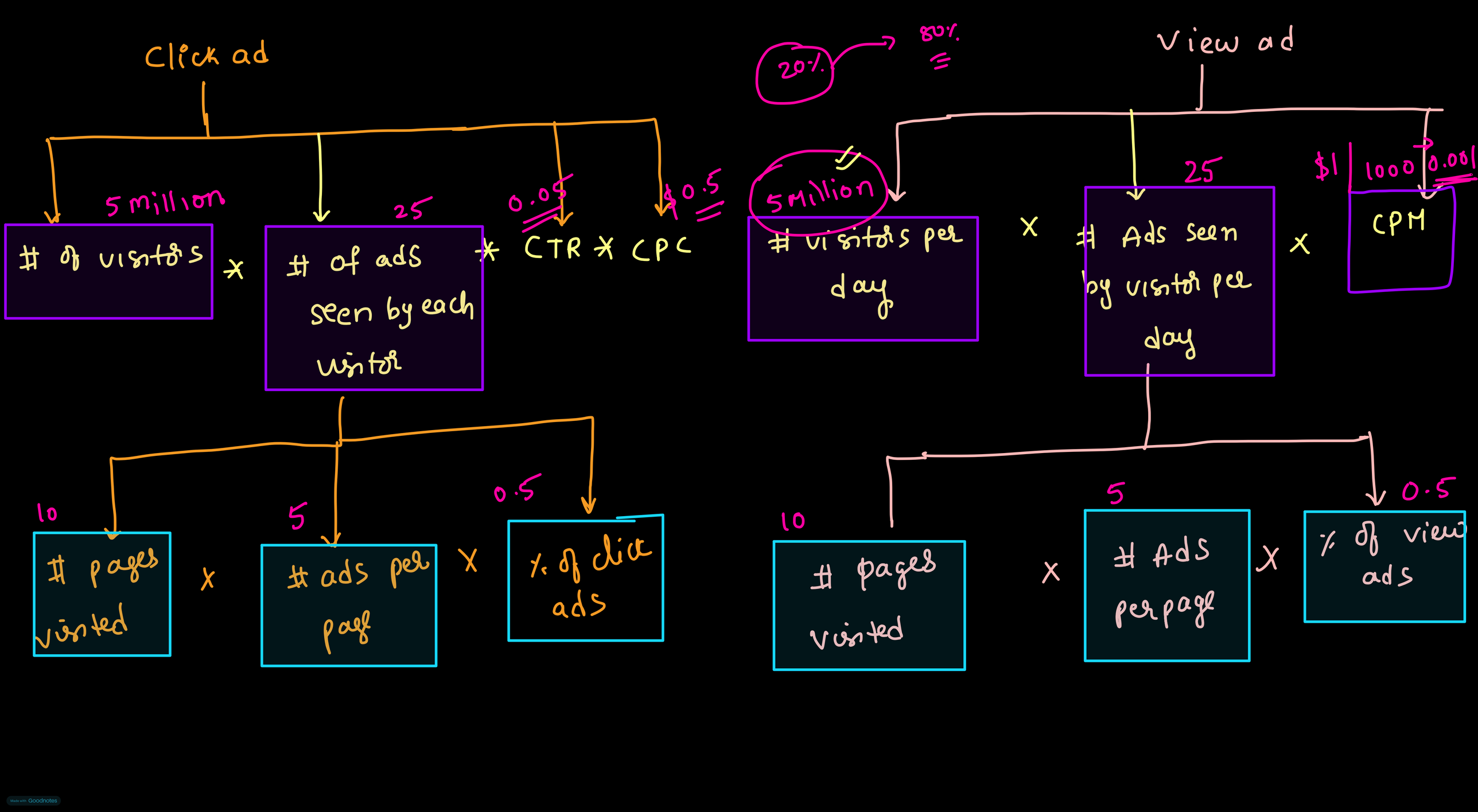
80% of Revenue ⟶ top 20% of publishers

⇒ 50



Made with Goodnotes


80% of revenue
51B
50
Top 20% of publishers
*
Ad revenue from each publisher
$3.25 m
*
365
3 125
0.125
3.250
+
Click ad
$ 3.125 m
+
view ad
$0.125 m


Click ad
5 million
of visitors
*
25
of ads seen by each visitor
* CTR * CPC
0.05
$0.5
10
pages visited
X
5
ads per page
X
0.5
% of click ads
20%
80%
5 million
visitors per day
X
View ad
25
Ads seen by visitor per day
X
$1
1000
0.001
CPM
10
pages visited
X
5
Ads per page
X
0.5
% of view ads